SENIOR CITIZEN SAVINGS SCHEME

Senior Citizen Savings Scheme is a financial scheme that was created particularly to serve the needs of senior citizens. The scheme offers preferential interest rates to senior citizens who have retired from their jobs and are living off their savings. It is backed by the government to offer additional layers of security for citizens above 60 years of age. Let us understand the important features of the same:

INTEREST	As of May 2020, SCSS offers an interest return of 7.4% p.a. compounded quarterly. The interest rate is revised every quarter and one needs to check for the latest interest rate.
TENURE	SCSS matures in 5 years from the day Investment is made and also, can be extended for an additional 3 years on maturity. Currently, the extension option for one deposit is only available once.
TAX TREATMENT	Investments made in Senior Citizen Saving Schemes do qualify for a deduction in Section 80C. However, interest and return on SCSS are fully taxable under ordinary income tax bracket.
SUITABILITY	SCSS is suitable for Senior Citizens who have very low risk-taking ability and cannot afford to lose money. The security by the government makes this a safe investment. For those with Higher Risk taking ability, they can combine SCSS with other higher-risk asset classes as well.
PURPOSE	The purpose is to have an instrument that specifically meets the needs and requirements of Senior Citizens. The instrument scheme is backed by the Government, which provides an additional layer of security to senior citizens for whom ordinary income source has stopped
PREMATURE WITHDRAWAL	No Premature Withdrawal is allowed in the first year of investment. For premature withdrawals made between years 1 and 2, a penalty of 1.5% is imposed on the interest and for premature withdrawals after 2 years, a penalty of 1% is levied.
HOW TO BUY	We can visit post offices or even select banks that can help us buy the same. A nominee has to be appointed when opening such an account.